India's case, one of the first and most frequently cited studies on the topic[19] has come under extensive criticism[20]. While more work has been done that addresses some of these criticisms, the evidence on the effects of labour regulations outside of India is also mixed. As per the World Bank,[21] 'A careful review of the actual effects of labour policies in developing countries yields a mixed picture. Most studies find that impacts are more modest than the intensity of the debate would suggest.' If labour laws really constrain firms, they would respond in predictable ways:

i. Relying more on capital instead of labour
ii. Resorting to informal arrangements/limiting their scale in order to remain outside of the formal sector altogether, and/or
iii. Hiring contractual labor

The increased use of capital-intensive techniques is reflected in a steeply rising capital/labour ratio for the organized economy.[22] This raises the obvious question whether it is justifiable for a relatively labour abundant country like India with low wages to be increasingly resorting to more capital-intensive technology. Of course, as we have argued earlier, countries would use more capital per worker as they get richer, but the capital intensity is higher and has increased at a much faster rate for large firms than for small firms in India, even while they have created fewer jobs.[23]

Firms would also resort to informality if labour laws were overly constraining (as has been argued earlier in this chapter). The extent of informality in India stands out relative to countries at similar levels of development (discussed in the next sub-title *'Informality of Employment in India'*). Roughly 85 per cent of the workforce in India is engaged in the informal sector all of which are unincorporated enterprises operated on a proprietary or partnership basis and with less than 10 employees. The prevalence of informal employment – workers in either the informal sector or in the formal sector but lacking employment or social security benefits is even higher; 95 per cent of jobs are informal and 80 per cent of non-agriculture wage workers work without a contract.

There is **advantage of formal employment** via contracts for worker training and learning, especially if contracts have a significant probability of being rolled over into the long term. Experience is important for skill